Procure Space ETF

SPCX NASDAQ

Hold	$133.92 ▼ 5.23%	12M Price Target	52-Week Range	Market Cap
		$155.00	$104.83 – $225.64	$1.82T

SPCX: Blue Wave Hammers Space ETF, Musk Exposure Hurts

WHAT HAPPENED

- SPCX dropped 5.2% today on huge volume (106M shares) — this is a straight-up political reaction. Democrats won control of Congress in the midterms, and the market is pricing in "major hurdles" for Musk-linked companies (SpaceX, Tesla). Since SPCX is a space-focused ETF with meaningful SpaceX-adjacent exposure, it got dragged down with the Musk complex.
- The weird part: broader market sectors ripped higher today (Consumer Disc +4.6%, Staples +3.5%, Financials +3%) — so this is sector-specific pain, not a market selloff. Money is rotating OUT of space/AI/Musk names and INTO traditional sectors.

WHY IT MATTERS

Here's what this really means: the market is betting a Democratic Congress will slow-walk the deregulatory space agenda — think tougher FAA launch approvals, more environmental reviews at Boca Chica, and less friendly tax treatment for commercial space. The "need to find a path forward with Texas" headline is code for Musk's political capital taking a hit with the new majority. BUT — and this matters — space is one of the most genuinely bipartisan areas of federal spending (NASA, Space Force, national security satellites), so the panic may be overdone. Watch to see if SPCX stabilizes around the $130 level over the next week — if it does, this was an emotional overreaction; if it keeps bleeding, the market is pricing in something more structural.

POLICY & POLITICAL WATCH

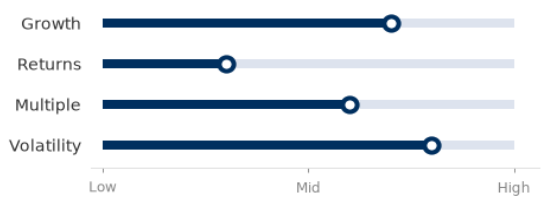
The immediate policy risk is the FY2027 NDAA (defense authorization) and NASA appropriations — a Democratic Congress is unlikely to gut space spending, but they may redirect dollars away from Musk-affiliated contractors toward Blue Origin, legacy primes, and smaller players. Watch for any noise about reviewing Starlink's government contracts or tightening launch licensing at the FAA. The silver lining: climate-focused Earth observation satellites and NOAA weather programs tend to get MORE funding under Democrats, which actually helps several SPCX holdings like Planet Labs and Iridium.

IS IT EXPENSIVE?

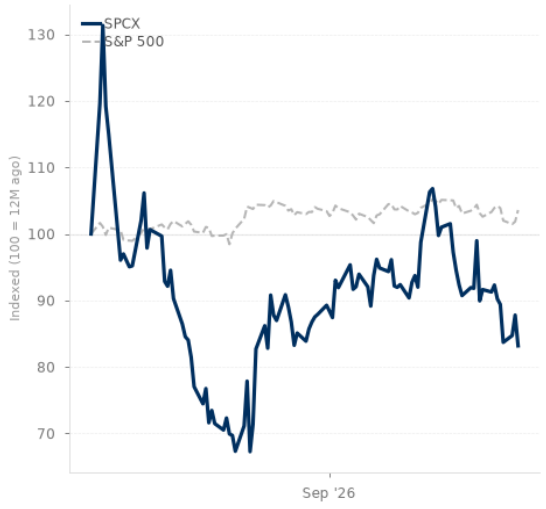
Key Data

Price (USD)	**$133.92**
12M Price Target	**$155.00**
Upside / (Downside)	**+15.7%**
Market Cap	**$1.82T**
FY2026E Revenue	**$0K**
FY2027E Revenue	**$0K**
FY2026E EPS	**$0.00**
FY2027E EPS	**$0.00**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



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SPCX — Procure Space ETF | November 04, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$148.00**	$135.00	**$120.00**
6 Months	**$170.00**	$145.00	**$115.00**
1 Year	**$195.00**	$155.00	**$110.00**
2 Years	**$240.00**	$180.00	**$105.00**
5 Years	**$350.00**	$250.00	**$120.00**
10 Years	**$550.00**	$380.00	**$150.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+4.6%), Staples (+3.5%), Financials (+3%), Real Estate (+3%) — classic rotation into rate-sensitive and consumer names on the assumption that a split government means more gridlock, less aggressive policy, and potentially easier Fed path.

COOLING OFF: Space, AI infrastructure, and anything Musk-touched — the market is pricing in regulatory headwinds and reduced federal largesse for these areas under Democratic Congress.

ROTATION WATCH: Money is flowing OUT of high-beta growth/tech and INTO defensives and rate-sensitive sectors — this is a "Democratic sweep = regulation" trade, and it tends to overshoot in the first 48 hours before normalizing.

RELATED PLAY: Traditional defense primes (Lockheed, Northrop, L3Harris) are the second-order winner here — if Congress redirects space dollars away from SpaceX, the legacy contractors catch those contracts. Also watch Rocket Lab (RKLB) as the "non-Musk" pure-play space alternative.

WHO'S WINNING IN THIS SPACE?

- LMT (Lockheed Martin): Legacy defense prime benefits if space dollars shift away from SpaceX toward traditional contractors.
- RKLB (Rocket Lab): The "clean" space play without Musk political baggage — likely gains relative share of narrative.

SPCX CONTEXT: SPCX is lagging badly today because it's over-indexed to the Musk/SpaceX narrative via its holdings — this tells us the market views the ETF as a Musk proxy, which is both the bull case (when he's winning) and the bear case (now). If SPCX can't bounce while defense names rally, it suggests the political overhang is sector-specific and sticky.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously constructive long-term but the near-term political overhang is real and the options market is clearly bearish.

POSITION SIZE: 2-4% — space is a real long-term theme but the political volatility means you don't want to be oversized here.

ENTRY POINTS: I'd wait for $125-130 before adding; if we get a capitulation flush to $115-120, that's a table-pounding entry.

TIME HORIZON: 12-24 months — you need time for the political dust to settle and for bipartisan space spending to reassert itself as the dominant narrative.

WHEN TO BAIL: If SPCX breaks and holds below $120, or if Congress actually introduces legislation targeting SpaceX contracts (not just hearings), the thesis is compromised.

HEDGING: Pair this with a position in traditional defense (LMT or NOC) — they benefit from the same federal space dollars but without the Musk political risk, so they hedge the specific vulnerability that's hurting SPCX today.

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